V2 goal set — Retirement Bridge and Retirement Incentive

Policy Director · adopted 12 October 2026 on board direction · internal, pre-decisional · MOO-100

This document **replaces** the V1 goal inventory as the governing goal set. That document is now the historical record of V1 only. Everything in Tiers 1–4 below is board-directed text, adopted as written. Section 6 is my own verification work and is clearly separated from the goals.

Read with `V2-decisions-adopted`. Six board decisions of 12 October 2026 now govern V2, and four of them amend how goals in this document are applied. Each amendment is marked **[AMENDED 12 Oct 2026]** at the point it bites, and §7 lists all of them in one place. Where this document and the decision record appear to differ, the decision record controls.

Governing principle. Keep the existing VRS system intact. Add two narrow post-window military-service pathways. Give preferential pricing only where the veteran provides a near-term retirement commitment in return. Limit the Bridge to the months actually needed, limit the Incentive to one year, and restore actuarial pricing if the participant chooses to remain employed.

The architecture has changed substantially from V1. The bill now **preserves the existing 24-month approximate-normal-cost window** and creates two narrowly targeted, post-window exceptions tied directly to retirement. Current VRS rules already provide approximate-normal-cost pricing during the first two years and actuarial-equivalent pricing afterward; active-duty military service remains subject to an existing 48-month purchase maximum.

Two modeling terms, read as intended. The replacement-salary assumption means **a replacement employee earning 80%–90% of the departing employee's salary** — that is, 10%–20% less, not 80%–90% less. The **1%–5% workforce reduction** means 1%–5% of vacated participant positions being eliminated or not backfilled.

Tier 1 — What the bill is for

G1 — Preserve the existing 24-month benefit; do not repeal the cliff. Keep current law intact for all VRS members: qualifying prior service purchased during the first 24 months of VRS-covered employment remains available at approximate normal cost, and ordinary purchases after that period remain subject to actuarial-equivalent cost. The pilot creates **targeted retirement-related exceptions**, not a general repeal of VRS's pricing structure.

G2 — Create a "Retirement Bridge" for Plan 1 and Plan 2 veterans approaching unreduced retirement. After the existing 24-month window has expired, a qualifying veteran may purchase at approximate normal cost **only the military-service months necessary to reach the member's applicable unreduced VRS retirement threshold**, up to the existing 48-month military-service maximum. Military-service months beyond those necessary to reach the threshold remain available, if otherwise eligible, at actuarial-equivalent cost.

The principle is: **preferential pricing bridges the member to retirement; it does not provide discounted pension years beyond what is necessary to reach the unreduced-retirement threshold.**

G3 — Create a separate "Retirement Incentive" for veterans already eligible for unreduced retirement. A Plan 1 or Plan 2 veteran who is already eligible for an unreduced VRS retirement benefit may make a one-time purchase of **up to 12 months of qualifying military service at approximate normal cost** as an incentive to transition into retirement. Any additional eligible military service remains purchasable at actuarial-equivalent cost.

This pathway is deliberately smaller than the Retirement Bridge because the participant does not need additional service to establish retirement eligibility; the one-year benefit is exchanged for a near-term retirement commitment.

G4 — Make retirement the consideration received by the Commonwealth. A participant in either pathway must retire from VRS-covered employment **within six months after completing the pilot-priced purchase**. The pilot is therefore not simply a reduced-price service purchase. It is a voluntary exchange: **veteran receives preferential military-service pricing; Commonwealth receives a defined retirement transition.**

G5 — Preserve employee choice, but protect VRS if the retirement commitment is not honored. No employee is forced to retire. A participant who chooses to remain in VRS-covered employment beyond the six-month period loses the preferential pricing and must pay the **actuarial-equivalent difference required by VRS** to retain the pilot-purchased service credit. This replaces the old "no clawback" goal. The true-up is now one of the program's central actuarial safeguards.

G6 — Preserve existing military-service eligibility and the four-year maximum. Do not broaden what qualifies as military service. Existing requirements — including qualifying active-duty service and the maximum of 48 months — remain in place.

Tier 2 — The fiscal and administrative constraints that decide whether it works

G7 — Make each pathway a one-time election. A veteran may use the Retirement Bridge or Retirement Incentive only once. The pilot must not permit serial discounted purchases over multiple years.

G8 — Require completion of the preferential purchase within 12 months. The pilot-priced purchase must be completed within 12 months using payment methods otherwise permitted by VRS. Current VRS procedures already support purchase agreements lasting up to 12 months and permit up to four months of service credit to be purchased per month of an agreement, so as much as 48 months can administratively fit within a 12-month purchase period.

G9 — Use the FY2025 Plan 1/Plan 2 membership as the baseline population, but clearly separate facts from assumptions. [AMENDED 12 Oct 2026 — decisions 1, 3 and 5.] The goal stands. Three things about how it is applied have been decided: 177,807 is context only and the modeling denominator is the state-agency Plan 1/Plan 2 count of 28,994 (decision 1); the "within 4

years of the threshold" screen is **not** the Bridge screen and must never be used as one (decision 3); and the Plan 2 percentages below — 12% and 13% — are **withdrawn** and replaced by the derived 4.0% and 6.7% (decision 5). The Plan 1 percentages stand.

Published VRS counts at June 30, 2025:

Plan	Active members
Plan 1	110,474
Plan 2	67,333
Combined	177,807

For preliminary modeling, use the following **planning assumptions supplied for the proposal**, not as VRS findings:

Cohort	Plan 1	Plan 2	Combined	Status after decision 5
Within 4 years of unreduced threshold	25%	~~13%~~ → **6.7%**	—	Plan 1 assumption retained; Plan 2 withdrawn, derived figure governs
Already beyond unreduced threshold	35%	~~12%~~ → **4.0%**	—	Plan 1 assumption retained; Plan 2 withdrawn, derived figure governs

The combined member counts originally shown against these percentages (~36,372 and ~46,746) were products of the 177,807 system-wide baseline and are withdrawn by decision 1. Percentages are applied to the 28,994 state-agency denominator. **Never write the modeled retirement-window population as a single ~83,000 total** — it is thirty apart from the verified count of 83,148 active state employees across all three plans, and the two mean entirely different things. Write it as **"~36,400 within four years + ~46,700 already beyond"** when the system-wide context figure is needed at all.

| Modeled retirement-window population | | | ~83,118 |

That implies approximately **20.5%** of the combined Plan 1/Plan 2 population is modeled as within four years of the threshold and **26.3%** as already beyond it.

These **are not veteran counts and are not projected participants**. Veteran status, qualifying military service, willingness to purchase and actual retirement behavior must be applied separately.

G10 — Model participation and workforce effects across a range rather than using one forecast. Every fiscal model shows low, middle and high scenarios rather than a single point estimate. At minimum, model:

- participant/retirement scenarios across the eligible veteran population;
- replacement salaries at **80%, 85% and 90%** of departing participant salaries;
- workforce reductions in which **1%, 3% and 5%** of vacated participant positions are not refilled;
- Bridge and Incentive participants separately.

The result must make clear how much savings comes from **salary compression on replacement**, how much comes from **positions not refilled**, and how much comes from other employer benefit

costs.

G11 — Maintain three separate fiscal ledgers. Do not confuse agency payroll savings with VRS trust-fund savings. Every model separately reports:

1. **VRS pension impact** — approximate-normal-cost payments received, actuarial value of service granted, earlier benefit commencement, true-up recoveries.
2. **Employer/workforce impact** — avoided incumbent salary and employer-paid costs, replacement compensation, unfilled positions.
3. **Net Commonwealth perspective** — the combined fiscal picture where legally and economically appropriate.

Payroll savings may offset Commonwealth-wide costs, but **they must never be described as money returned to the VRS trust fund unless an actual funding mechanism does so.**

G12 — Make VRS calculate the fiscal effect of each pathway independently. The two pathways have fundamentally different economics.

Retirement Bridge — VRS calculates	Retirement Incentive — VRS calculates
military months purchased at normal cost	one-year maximum normal-cost purchase
actuarial-equivalent value of those months	corresponding actuarial-equivalent value
acceleration of retirement date	increased annual pension
increased lifetime pension liability	actual retirement acceleration attributable to the program
member contribution	

Do not combine the two into a single average that hides which pathway is driving the cost.

G13 — Do not promise "minimal impact" before VRS says it. The legislative objective is to obtain an actuarial finding showing whether the pilot's limited scope, retirement requirement and true-up provision adequately control costs. Any phrase such as **"actuarially neutral," "minimal impact," or "self-funding"** appears only if supported by an actual VRS fiscal analysis.

G14 — Track administrative expense explicitly. Implementation costs for VRS, participating employers, payroll systems and annual reporting are shown separately rather than buried inside the pension estimate.

Tier 3 — The fights the bill should avoid

G15 — Plan 1 and Plan 2 only. Hybrid remains untouched. Do not attempt to solve Hybrid in this legislation. Its defined-benefit/defined-contribution structure raises different questions and can be considered separately later.

G16 — Do not alter the existing 24-month right for anyone. A veteran within the existing two-year normal-cost window keeps every right available under current law. The pilot operates only as an additional pathway after that ordinary window. This is an important change from the earlier proposal: **we are no longer arguing that Virginia's 24-month rule itself should be abolished.**

G17 — Do not change pricing for non-military prior service. Create a narrow exception for qualifying military service under these two retirement-transition pathways rather than reopening VRS's entire purchase-of-prior-service structure.

G18 — Do not discount service beyond what each pathway requires. Bridge: normal cost applies only to the number of qualifying military months necessary to reach the applicable unreduced retirement threshold. Incentive: normal cost applies to no more than **12 months**. All additional eligible military service remains under actuarial-equivalent pricing.

G19 — Do not make retirement legally mandatory. Participation is voluntary. The employee retains the right to keep working. The consequence of doing so is financial: preferential pricing converts to the actuarial-equivalent requirement. This distinction remains explicit throughout the bill and all advocacy materials.

G20 — Retain the state-agency-only limitation from the original goal set. Limit the pilot to state employees rather than employees of participating local governments or school divisions. This avoids creating an unfunded local mandate and gives Virginia direct access to both sides of the fiscal data: pension cost and agency payroll savings.

[AMENDED 12 Oct 2026 — decision 4.] The pilot applies to the VRS State Employees (non-hazardous-duty) plan only, and the bill states the exclusion expressly. Excluded by name: the State Police Officers' Retirement System (1,902 active), the Virginia Law Officers' Retirement System (7,459) and the Judicial Retirement System (473). Hybrid is already excluded by G15 (52,280). The reasons are that their unreduced-retirement rules differ, so the Bridge arithmetic does not transfer; their approximate-normal-cost price rates are far higher — 23.78% hazardous and 31.97% judicial against 12.50% Plan 1 non-hazardous, roughly 1.9× and 2.6× the price per year purchased; and we hold no veteran count for any of them. Silence was the option rejected: the exclusion must read as a design choice, not an oversight. Expect an expansion amendment on the floor and have it pre-scored before it is offered.

Tier 4 — Credibility and evidence

G21 — Four-year pilot, hard sunset, affirmative reenactment. The program runs for four years and expires unless the General Assembly affirmatively reenacts it. Do not make the experiment permanent before Virginia has actual participation and fiscal data.

G22 — Produce annual reports by pathway. Reporting separately identifies Bridge and Incentive participants and includes at least: Plan 1 versus Plan 2; veteran participants; military months purchased; normal-cost payments received; actuarial-equivalent value of purchased service; average salary/AFC at election; actual retirement date; months by which retirement was accelerated; employees who failed to retire and were assessed the actuarial true-up; replacement salary, where available; whether the position was refilled; positions eliminated or not refilled; VRS actuarial impact; employer payroll savings; program administration cost.

G23 — Treat the 177,807 membership count as fact and the retirement-window percentages as modeling assumptions. Never present these assumptions as though VRS published them. Published

VRS data support the Plan 1 and Plan 2 membership counts; the retirement-proximity percentages remain assumptions until VRS provides actual counts.

[AMENDED 12 Oct 2026 — decision 5.] The list G23 governs is now the Plan 1 percentages only — 25% and 35%. The Plan 2 figures of 12% and 13% are withdrawn from every V2 document and must not be quoted again. The derived **4.0%** and **6.7%** replace them and carry a different label: *derived from the published VRS age × total-service table*, which is stronger than "assumption" but still not a VRS finding. G24 remains the final word on all four.

G24 — Obtain the missing data that determines the real fiscal note. Ask VRS/DHRM to produce the actual number of: active Plan 1 and Plan 2 state employees; known veterans; members with qualifying military service available for purchase; veterans within 48 months of unreduced retirement eligibility; veterans already eligible for unreduced retirement; average salary by cohort; average qualifying military months; historical purchase participation. This is a core objective of the pilot, not an administrative afterthought.

G25 — Primary sources only for factual claims. Use VRS, Virginia Code, DHRM, DPB, LIS and other official Commonwealth sources for all factual claims and clearly date the data. VRS itself defines actuarial-equivalent cost as the present value associated with the higher retirement benefit or earlier retirement eligibility created by purchased service, which is precisely why VRS must perform the ultimate fiscal analysis rather than our advocacy model substituting for it.

The five tensions that now decide the proposal

1. Preserving the 24-month cliff vs. creating post-window exceptions. The revised bill no longer attacks VRS's general cost-window policy. The question becomes whether Virginia can justify two very narrow military-specific exceptions because each requires an actual retirement transition in return.

2. Bridge generosity vs. fiscal discipline. The Bridge can provide as much as four years at normal cost — but **only where all four years are actually required to reach the applicable unreduced threshold**. A member needing 14 months receives 14 months at normal cost, not four years. This is probably the most important cost-control mechanism in the new design.

3. Incentive value vs. pension enhancement. Someone already retirement-eligible does not need purchased service to retire. Giving that person four discounted years would look primarily like a pension enhancement. Limiting the Incentive to **one year** creates a much more bounded exchange: one year of preferential credit for retirement within six months.

4. Workforce savings vs. pension accounting. Earlier retirement may produce substantial agency salary savings, particularly when a senior employee is replaced at 80%–90% of incumbent salary or some positions are not backfilled. But those savings occur outside the VRS trust fund. The proposal becomes more credible when it shows both benefits while refusing to pretend they are the same accounting transaction.

5. Reach vs. proof. The preliminary retirement-window assumptions identify roughly **83,000 Plan 1/Plan 2 members** in or near the relevant retirement window before veteran status and military-

service eligibility are applied. That is large enough that a fiscal note cannot rely on anecdotal participation assumptions. At the same time, only an unknown subset are veterans with qualifying purchasable service, and an even smaller subset will voluntarily participate. The four-year pilot should therefore be designed to **produce the data needed to replace assumptions with actual Virginia experience**.

What disappears from the V1 goal set

Removed completely, and to be deleted from every downstream document:

Removed	Was	Why it goes
1.42× ANC pricing formula	V1 G1	Pricing is now ordinary approximate normal cost, not a new basis of our own construction.
Removal of the 24-month cliff	V1 G2	The cliff is preserved. New G1, G16.
57% discount / 43% of current law	V1 G3	No longer a target. Price is ANC inside the pathway, actuarial equivalent outside it.
$3 million subsidy cap (and the $3.3M appropriation, certified-subsidy reservation, published queue, per-member ceiling)	V1 G7, G8, G9	No appropriation-capped subsidy in this architecture.
18-participant target	V1 G4	Replaced by the scenario ranges in G10.
"No clawback"	V1 G5	Reversed. The actuarial true-up in G5 is now a central safeguard.

Surviving from V1, restated: state-agency-only (now G20), Plan 1/Plan 2 only with Hybrid untouched (now G15), four-year pilot with sunset and reenactment (now G21), no "minimal impact" claim before VRS writes it (now G13), primary sources only (now G25), and produce the first real veteran data (now G24).

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6. Verification and open items — Policy Director

This section is mine, not board-directed text. It does not change any goal above. It records what I verified, what I could not, and three places where the goal set will produce a wrong number if we do not settle something.

Board decisions of 12 October 2026 — both applied. The fiscal model built on them is the V2 fiscal model.

The denominator is now derived from primary data, not pro-rata. §6.2(a) estimated roughly 39,000 Plan 1/Plan 2 state employees by applying the system-wide plan mix. The VRS *Annual Actuarial Valuation, June 30, 2025* publishes the full age × total-service table for the 81,274 active State Employees (p. 50). Applying the statutory tier boundaries to that table gives **28,994** — Plan 1

20,872, Plan 2 8,122. That is **26% below the pro-rata figure**, and it is what the model uses. Read the 39,000 in §6.2(a) as superseded.

6.1 Source facts, verified 12 October 2026

ID	Claim	Status	Source, pinpoint	Tier
V-1	Two-year window at approximate normal cost, then actuarial equivalent	Verified. "you have a two-year window of time to purchase most types of service at approximate normal cost before the cost changes to an actuarial equivalent cost" and "If you do not purchase the service within your two-year window, your cost shifts to an actuarial equivalent cost."	VRS, Purchase of Prior Service — Cost Windows	2
V-2	48-month active-duty maximum; discharge not dishonorable; at least 180 consecutive days full-time; at time of purchase does not qualify the member for a military pension (Reserves/National Guard exempt from that last condition)	Verified. "up to 48 months of active duty military service (in addition to the 48 months of other limited service types)"	VRS, Types of Service	2
V-3	Purchase agreement 6–12 months; 1–4 months of credit per month of agreement, so 48 months fits inside a 12-month agreement	Verified. "a minimum of six months … to a maximum of 12 months in duration"; "up to a maximum of four months of service per month of an agreement"	VRS, Payment Methods	2
V-4	Plan 1 110,474 and Plan 2 67,333 active members at June 30, 2025; combined 177,807	Verified. "Who We Serve — At June 30, 2025": Plan 1 110,474, Plan 2 67,333, Hybrid 200,253, total active members 378,060, 864 participating employers	VRS 101 brochure, p. 4	2
V-5	Arithmetic in G9	Verified. 110,474 + 67,333 = 177,807. 25%×110,474 = 27,619; 13%×67,333 = 8,753; sum 36,372. 35%×110,474 = 38,666; 12%×67,333 = 8,080; sum 46,746. Total 83,118. 36,372/177,807 = 20.46%; 46,746/177,807 = 26.29%.	internal	—
V-6	VRS active state employees at June 30, 2025	Verified figure, all three plans: 83,148 active members in the State Employee plan, 22.0% of 378,060.	VRS 2025 Annual Comprehensive Financial Report	2
V-7	Retirement-proximity percentages (25% / 13% / 35% / 12%)	Partly checked, 12 October 2026. Still assumptions under G23. Derived figures from the VRS valuation table now exist to check them against: Plan 1 holds (28.4% / 22.2% against 35% / 25%); Plan 2 does not (4.0% / 6.7% against 12% / 13%). See §6.4 finding 3.	—	—
V-8	Approximate normal cost rates, effective July 1, 2025	Verified. State, Teacher and Local Non-Hazardous Duty, other eligible service	VRS, *Purchase of Prior Service Cost*	2

ID	Claim	Status	Source, pinpoint	Tier
		within the two-year window: Plan 1 12.50% of salary, Plan 2 10.74%, Hybrid 6.68%. Hazardous duty 23.78% / 19.15%; judicial 31.97% / 29.67%. After two years: "Actuarial Cost." Charged on creditable compensation or AFC at purchase, whichever is higher.	*Rates*	
V-9	Unreduced retirement eligibility and multipliers	Verified. Plan 1: "age 65 with at least five years of service credit or at age 50 with at least 30 years"; multiplier 1.7%; AFC = highest 36 consecutive months. Plan 2: "normal Social Security retirement age with at least five years of service credit or when your age and service credit equal 90"; multiplier 1.65% on service purchased on or after 1 January 2013, 1.7% before; AFC = highest 60 consecutive months.	Plan 1 Handbook · Plan 2 Handbook	2
V-10	State Employees plan, the modeling base	Verified. 81,274 active participants; $6,275,603,114 annual compensation; average annual compensation $77,215; average age 46.9; average total service 11.0; average entry age 36.8. Full age × total-service table published.	VRS *Annual Actuarial Valuation, June 30, 2025*, pp. 49–50	2
V-11	Veteran share of the state workforce	Verified as recorded. "Veterans 6% / Non-Veterans 94%" of the classified state workforce, DHRM EPR Reports as of 30 June 2024. Treat as a floor — this is the same field V1 found reads "unknown" for 69% of members. Virginia context: veterans were 369,000 of a 4,528,987 civilian labour force in 2025, 8.1%.	DHRM to Senate Finance and Appropriations, 21 Jan 2025, slide 8 · BLS Table 6A	2
V-12	State Employees employer contribution rate, FY2027–28	Verified. 11.07% total = employer normal cost 4.34% + administrative expense 0.24% + amortization of UAAL 6.49%. UAAL $6.05 billion. The amortization component is a percentage-of-payroll charge against a fixed dollar liability, so payroll reduction does not reduce it — only 4.58 of the 11.07 points is a genuine saving when a position is downsized.	VRS valuation, p. 12	2

6.2 Three things to settle before the fiscal model is built

(a) G9's denominator does not match G20's population. This is the big one. The 177,807 count is verified, but it covers **all 864 VRS-participating employers** — 242 state agencies plus 261 counties,

cities and towns, 142 school boards and 219 special authorities. G20 limits the pilot to **state employees**. VRS reports **83,148** active state-employee members at June 30, 2025 across all three plans (V-6). On a pro-rata plan mix that implies roughly **39,000** Plan 1/Plan 2 state employees — about **one fifth** of the 177,807 baseline. The pro-rata is my illustration, not a VRS figure; state employees have their own plan mix and VRS publishes the exact split.

So as written, G9 and G20 together will overstate the eligible population by roughly 4.5×. Two ways to close it, both consistent with the goal set:

1. Keep 177,807 as the **system-wide context figure** and add the state-agency Plan 1/Plan 2 count as the **modeling denominator**, obtained under G24. *Recommended.*
2. Re-baseline G9 on state employees only and drop 177,807 from the model entirely.

Either way the 25/13/35/12 percentages are applied to the state-agency subset, not to 177,807, or every participant scenario in G10 is inflated.

(b) Two different 83,000s. Rename one now. The modeled retirement-window population in G9 is **83,118**. The verified count of active state employees is **83,148**. Thirty apart, and they mean entirely different things. If both reach a fiscal note or a legislator's desk, someone will read one as the other. I propose we always write the modeled figure as **"~36,400 within four years + ~46,700 already beyond"** and never as a single 83,000 total.

(c) G3 and G12 ask for a number that may be structurally zero. G12 requires VRS to calculate, for the Incentive, "actual retirement acceleration attributable to the program." But the Incentive cohort is **already eligible for unreduced retirement** — purchased service does not advance their eligibility date at all. For that pathway, the credit raises the benefit amount; any acceleration is purely behavioral. Three consequences we should expect and get ahead of:

- VRS may well score the Incentive as a **benefit enhancement with no acceleration offset** — the least favourable reading available.
- Tension 3 already identifies this. The 12-month limit bounds the size of the enhancement; it does not change its character.
- The **true-up in G5 is what carries this pathway.** If the member does not retire within six months, they pay actuarial equivalent. That is the only hard mechanism tying the Incentive to a retirement outcome, so it has to be drafted to be genuinely collectible — most likely by withholding the credit from the member's record until either retirement or full actuarial payment. Worth a direct question to VRS counsel. **Still open.** Decision 6 of 12 October 2026 confirmed that no transfer mechanism moves the agency payroll saving into the trust fund, which makes the G5 true-up the only consideration the Commonwealth receives inside Ledger 1 on the Incentive pathway. That raises the stakes on collectability rather than settling it. The written question to VRS counsel is drafted as `V2-counsel-question-trueup`.

6.3 Reach — settled 12 October 2026

Take-up bounds: low 5% / mid 12% / high 25% of the qualified veteran pool over the four-year pilot. Applied in the V2 fiscal model §4, which gives **17 / 42 / 86 participants**. **Drafting request** — unchanged target of 30 November 2026.

Take-up is one of three dials. The other two — veteran share and the share holding qualifying purchasable military service — are both G24 data requests, and together they widen the range to **9–141**. The board set the dial it could set; G24 is what closes the rest.

6.4 Four findings from building the model — all four decided, 12 October 2026

These came out of the derived cohort work. Each was put to the board as a reading question. **All four were decided on 12 October 2026, and the board took the recommended reading on every one.** The findings are kept here as the reasoning; the decisions themselves are in §7 and in `V2-decisions-adopted`.

1. **G9's "within 4 years of the threshold" is the wrong screen for the Bridge, and it overstates the pool by 2.2× (5,177 against 2,396).** Purchased service adds service, not age. A member whose only eligibility path is Plan 1's age-65 rule or Plan 2's age-67 rule cannot be bridged at any price — four years of military credit moves their eligibility date by zero days. The Bridge reaches only members on a service-based rule: Plan 1's age 50 + 30 years, or Plan 2's Rule of 90. **Decided: the purchasable screen, 2,396, governs.**
2. **The Bridge is structurally a Plan 1 mechanism. Expected Plan 2 Bridge participation is zero.** A Plan 2 member holds at most 15.5 years of service, so Rule of 90 needs age 74.5 — and anyone that old already qualified at 67 under the age rule, which puts them in the Incentive. G2 should still name Plan 2 for the Bridge; the fiscal note must score it at zero or VRS will reserve for a population that does not exist. **Decided: confirmed, scored at zero.**
3. **G9's Plan 1 assumptions hold; its Plan 2 assumptions do not.** Derived against assumed: Plan 1 already beyond threshold 28.4% against 35%, within four years 22.2% against 25% — close enough to use. Plan 2 already beyond 4.0% against 12%, within four years 6.7% against 13% — **two to three times high**, for the same structural reason as finding 2. Recommend the Plan 2 percentages be retired in favour of the derived figures. **Decided: both parts of this finding confirmed.**
4. **The hazardous-duty and judicial state plans are not addressed anywhere in the goal set.** State Police (1,902), Virginia Law Officers (7,459) and Judicial (473) are state employees under any plain reading of G20. Veterans are likely over-represented in corrections and law enforcement; their **approximate-normal-cost price rates** are far higher — Plan 1 hazardous 23.78% and judicial 31.97% against 12.50% non-hazardous, so roughly 1.9× and 2.6× the price per year purchased; and their eligibility rules differ. *These are price rates from the VRS cost-rate chart, not purchase-participation rates; an earlier note on the thread mislabelled them. We hold no verified purchase-participation rate for any plan.* Recommend they be excluded and the exclusion stated, so it reads as a design choice. **Decided: excluded, expressly.**

6.5 What I would do next

1. ✅ **Done** — the G10/G11 three-ledger model, built on primary VRS data rather than a parameter shell: the V2 fiscal model.
2. ✅ **Drafted, not sent** — the G24 data request to VRS and DHRM, with **k, the actuarial-equivalent-to-approximate-normal-cost ratio by age and tier,** as the first item. k decides whether the bill is affordable and nothing in our model can substitute for it. See `V2-data-request-VRS-DHRM`. It goes out on the board's say-so.

3. ✅ **Drafted, not sent** — the G5 collectability question to VRS counsel. See `V2-counsel-question-trueup`.
4. ✅ **Done** — the one-page JLC initiative and the two-page advocacy brief, rewritten on this architecture. Both previously argued the V1 case and were wrong in their central claim. See `V2-JLC-one-pager` and `V2-advocacy-brief`.
5. Get the drafting request to the Division of Legislative Services by **30 November 2026**. The express hazardous-duty and judicial exclusion from decision 4, the reach-test wording for the Bridge from decision 3, and the G5 true-up mechanism are the three items that need drafting attention rather than restatement.

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7. Amendment register — board decisions of 12 October 2026

Six decisions. Four of them amend how goals in this document are applied. **No goal text in Tiers 1–4 was changed by any of them** — the goals stand as adopted, and what changed is the application. Full reasoning in `V2-decisions-adopted`.

Decision	Goals affected	Amendment
1 — Denominator	G9, G23	177,807 is system-wide context only. The modeling denominator is the state-agency Plan 1/Plan 2 count: **28,994**, derived from the VRS valuation age × service table. The earlier pro-rata estimate of ~39,000 is superseded
2 — Reach bounds	G10	Take-up **5% / 12% / 25%** of the qualified veteran pool over the pilot, giving **17 / 42 / 86** participants. Full three-dial range **9 to 141**
3 — Bridge screen	G2, G9, G18	The Bridge population is **members who can reach the unreduced threshold by purchasing ≤48 months — 2,396.** G9's "within four years" screen (5,177) is retired as a Bridge figure and may appear only labelled as superseded
4 — Plan scope	G15, G20	**VRS State Employees (non-hazardous-duty) plan only**, with the exclusion of SPORS, VaLORS and JRS stated expressly in the bill. Hybrid remains excluded by G15
5 — Plan 2	G2, G9, G23	Plan 2 remains **legally eligible** for the Bridge and is **scored at zero** for the whole pilot. Plan 2 proximity assumptions **12% and 13% withdrawn**; derived **4.0%** and **6.7%** govern. Plan 1's 25% and 35% stand
6 — Payroll saving	G11, G22	**No transfer mechanism.** The agency payroll saving stays in agency appropriations and never nets against the pension cost in any headline, table, brief or testimony. G22 still measures it, so reenactment in 2031 argues from Virginia data

What is still open after all six. k — the actuarial-equivalent-to-approximate-normal-cost ratio, from the VRS actuary. The G24 counts. Whether the G5 true-up is collectible, from VRS counsel. A V2 administrative-cost estimate. The state health-insurance premium per employee. Ordered by how much each moves the numbers, with owners, in `V2-decisions-adopted` §"What is now closed, and what is still open."